Bill Number: H.B. 2477

Kavanagh ADD COW Floor Amendment

Reference to: Senate engrossed House bill

Amendment drafted by: Leg. Council

FLOOR AMENDMENT EXPLANATION

1. Removes the requirements for the State Treasurer to only invest in safe investments that prioritize safety and principal preservation before high returns, liquidity and yield.

2. Removes the prohibition against the State Treasurer:
   a) using any insider information obtained while performing official duties to knowingly benefit another party or for any personal gain or for the personal gain of any family member of the State Treasurer; and
   b) investing in speculative investments.

3. Removes the specification that the interests of the State Treasurer's Office must take precedence over any personal interests of the State Treasurer.

4. Removes the requirement for the State Treasurer to establish and oversee an investment advisory team and removes the prescribed investment advisory team membership and requirements.

5. Removes the addition to the statutory restrictions on the State Treasurer's investment of public monies.

6. Removes the requirements for the State Treasurer to manage the Local Government Investment Pool by using only employees of the State Treasurer's Office and allows the State Treasurer to confer with the State Board of Investment as necessary.

7. Removes the authority for the State Treasurer to enter into a contract with a third party as a contingency if the State Treasurer is unable to conduct their fiduciary duty only for the time period that the State Treasurer's Office is unable to conduct such fiduciary duty.

8. Removes defined terms.

Amendment explanation prepared by Molly Graver
6/11/2026

ADDITIONAL COW
KAVANAGH FLOOR AMENDMENT
SENATE AMENDMENTS TO H.B. 2477
(Reference to Senate engrossed House bill)

Amendment instruction key:
[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.
[Green underlining in brackets] indicates text added to new session law or text restoring existing law.
[~~GREEN STRIKEOUT IN BRACKETS~~] indicates new text removed from statute or previously enacted session law.
[~~Green strikeout in brackets~~] indicates text removed from existing statute, previously enacted session law or new session law.
<<Green carets>> indicate a section added to the bill.
<<~~Green strikeout in carets~~>> indicates a section removed from the bill.

The bill as proposed to be amended is reprinted as follows:

Section 1. Section 15-1871, Arizona Revised Statutes, is amended to read:

15-1871. Definitions

In this article, unless the context otherwise requires:

1. "Account" means an individual trust account in the fund that is established as prescribed in this article.

2. "Account owner" means the person who enters into a tuition savings agreement pursuant to this article, who is an account owner within the meaning of section 529 of the internal revenue code and who is designated at the time an account is opened as having the right to withdraw monies from the account before the account is disbursed to or for the benefit of the designated beneficiary.

3. "Board" means the state board of investment.

4. "Designated beneficiary" means a person who qualifies as a designated beneficiary under section 529 of the internal revenue code and, except as provided in section 15-1875, subsections P and Q, with respect to an account, who is designated at the time the account is opened as the person whose qualified higher education expenses are expected to be paid from the account or, if this designated beneficiary is replaced in accordance with section 15-1875, subsections D, E and F, the replacement beneficiary.

5. "Eligible educational institution" means an institution of higher education that qualifies under section 529 of the internal revenue code as an eligible educational institution.

6. "Financial institution" means the state treasurer's office or any bank, commercial bank, national bank, savings bank, savings and loan

association, credit union, insurance company, brokerage firm or other similar entity that is authorized to do business in this state.

7. "Fund" means AZ529, Arizona's education savings plan trust fund that constitutes a public instrumentality of this state and that is established by section 15-1873.

8. "Member of the family" ~~means any of the following:~~

~~(a) A son or daughter of a person or a descendant of the son or daughter of the person.~~

~~(b) A stepson or stepdaughter of a person.~~

~~(c) A brother, sister, stepbrother or stepsister of a person. For the purposes of this subdivision, "brother" and "sister" includes a brother or sister by the half-blood.~~

~~(d) The father or mother of a person or the ancestor of the father or mother of a person.~~

~~(e) A stepfather or stepmother of a person.~~

~~(f) A son or daughter of a person's brother or sister. For the purposes of this subdivision, "brother" and "sister" includes a brother or sister by the half-blood.~~

~~(g) A brother or sister of the person's father or mother. For the purposes of this subdivision, "brother" and "sister" includes a brother or sister by the half-blood.~~

~~(h) A son-in-law, daughter-in-law, father-in-law, mother-in-law, brother-in-law or sister-in-law of a person.~~

~~(i) The spouse of a person or the spouse of any individual described in this paragraph.~~

~~(j) A first cousin of a person.~~

~~(k) Any individual who meets the criteria for family membership described in this paragraph as a result of legal adoption.~~ HAS THE SAME MEANING PRESCRIBED IN SECTION 529 OF THE INTERNAL REVENUE CODE.

9. "Nonqualified withdrawal" means a withdrawal from an account other than one of the following:

(a) A qualified withdrawal.

(b) A withdrawal made as the result of the death or disability of the designated beneficiary of an account.

(c) A withdrawal that is made on the account of a scholarship, or the allowance or payment described in section 135(d)(1)(B) or (C) of the internal revenue code, and that is received by the designated beneficiary, but only to the extent of the amount of this scholarship, allowance or payment.

(d) A rollover or change of designated beneficiary.

10. "Person" means an individual, an individual's legal representative or any other legal entity authorized to establish a savings account under section 529 of the internal revenue code and the corresponding regulations.

11. "Plan" means AZ529, Arizona's education savings plan that is established under this article and that constitutes a qualified tuition program as defined in section 529 of the internal revenue code.

12. "Qualified higher education expenses" ~~:~~

~~(a) Means:~~

~~(i) Tuition, fees, books, supplies, room and board and equipment required for a designated beneficiary to enroll at or attend an eligible educational institution.~~

~~(ii) Expenses for special needs services in the case of a special needs beneficiary that are incurred in connection with enrolling or attending, if these expenses meet the definition of qualified higher education expenses in section 529 of the internal revenue code.~~

~~(iii) Expenses to purchase a computer, peripheral equipment, computer software or internet access and related services if the computer equipment, software or services are to be used primarily by the beneficiary during the years the beneficiary is enrolled at an eligible educational institution and if these expenses meet the definition of qualified higher education expenses in section 529 of the internal revenue code.~~

~~(iv) Expenses for fees, books, supplies and equipment required for a designated beneficiary to participate in an apprenticeship program that is registered and certified with the United States secretary of labor under section 1 of the national apprenticeship act (50 Stat. 664; 29 United States Code section 50) if these expenses meet the definition of qualified higher education expenses in section 529 of the internal revenue code.~~

~~(b) Includes tuition to enroll in or attend an elementary or secondary public, private or religious school pursuant to section 529 of the internal revenue code.~~

~~(c) Includes amounts paid as principal or interest on any qualified education loan as defined in section 221(d) of the internal revenue code of the designated beneficiary or a brother, sister, stepbrother or stepsister of the designated beneficiary pursuant to section 529 of the internal revenue code.~~ HAS THE SAME MEANING PRESCRIBED IN SECTION 529 OF THE INTERNAL REVENUE CODE, AS MODIFIED BY 26 UNITED STATES CODE SECTION 529(c)(7) AND (9).

13. "Qualified withdrawal" means a withdrawal from an account to pay any ~~of the following:~~

~~(a) the~~ qualified higher education expenses of the designated beneficiary of the account, but only if the withdrawal is made in accordance with this article, SUBJECT TO THE FOLLOWING LIMITATIONS: ~~.~~

~~(b)~~ (a) ~~Tuition of less than $10,000~~ NOT MORE THAN $20,000 IN THE AGGREGATE FOR EXPENSES INCURRED FOR THE DESIGNATED BENEFICIARY to enroll in or attend an elementary or secondary public, private or religious school pursuant to section 529 of the internal revenue code ~~of the designated beneficiary of the account, but only if the withdrawal is made in accordance with this article~~.

~~(c)~~ (b) NOT MORE THAN $10,000 FOR amounts paid as principal or interest on any qualified education loan as defined in section 221(d) of the internal revenue code of the designated beneficiary or a brother, sister, stepbrother or stepsister of the designated beneficiary, ~~but only if the withdrawal is made in accordance with this article. The amount of qualified withdrawals under this article with respect to the loans of any designated beneficiary or a brother, sister, stepbrother or stepsister of the designated beneficiary may not exceed $10,000,~~ reduced by the amount of withdrawals so treated for all prior taxable years.

14. "Section 529 of the internal revenue code" means section 529 of the internal revenue code of 1986, as amended, and the final regulations issued pursuant to that section.

15. "Treasurer" means the state treasurer.

16. "Trust interest" means an account owner's interest in the fund created by a tuition savings agreement for the benefit of a designated beneficiary.

17. "Tuition savings agreement" means an agreement between the board, as trustee of the fund, and an account owner that creates an interest in the fund and that provides for participation in the plan.

Sec. 2. Section 15-1875, Arizona Revised Statutes, is amended to read:

15-1875. Plan requirements

A. The plan shall be operated through the use of accounts in the fund established by account owners. ACCOUNT OWNERS SHALL MAKE payments to the fund ~~for participation~~ TO PARTICIPATE in the plan ~~shall be made by account owners~~ pursuant to tuition savings agreements. An account may be opened by any person who desires to invest in the fund and to save to pay qualified higher education expenses by satisfying each of the following requirements:

1. Completing an application in the form prescribed .by the treasurer. The application shall include the following information:

~~(a) The name, address and social security number or employer identification number of the contributor.~~

~~(b)~~ (a) The name, address and social security number of the account owner if the account owner is not the contributor.

~~(c)~~ (b) The name, address and social security number of the designated beneficiary.

~~(d)~~ (c) The certification relating to no excess contributions required by subsection L of this section.

~~(e)~~ (d) Any other information that the treasurer may require.

2. Paying the onetime application fee established by the treasurer.

3. Making the minimum contribution required by the treasurer or by opening an account.

4. Designating the type of account to be opened if more than one type of account is offered.

B. Any person may make contributions to an account after the account is opened.

C. Contributions to accounts may be made only in cash.

D. An account owner may change the designated beneficiary of an account to an individual who is a member of the family of the former designated beneficiary in accordance with procedures established by the treasurer.

E. On the direction of an account owner, all or a portion of an account may be transferred to another account of which the designated beneficiary is a member of the family of the designated beneficiary of the transferee account.

F. Changes in designated beneficiaries and rollovers under this section are not allowed if the changes or rollovers would violate either of the following:

1. Subsection L of this section, relating to excess contributions.

2. Subsection I of this section, relating to investment choice.

G. Each account shall be maintained separately from each other account under the plan.

H. Separate records and accounting shall be maintained for each account for each designated beneficiary.

I. A contributor to, account owner of or designated beneficiary of any account may not direct the investment, within the meaning of section 529 of the internal revenue code, of any contributions to an account or the earnings from the account.

J. If the treasurer terminates the authority of a financial institution to hold accounts and accounts must be moved from that financial institution to another financial institution, the treasurer shall select the financial institution and type of investment to which the balance of the account is moved unless the internal revenue service provides guidance stating that allowing the account owner to select among several financial institutions that are then contractors would not cause a plan to cease to be a qualified tuition plan.

K. Neither an account owner nor a designated beneficiary may use an interest in an account as security for a loan. Any pledge of an interest in an account is of no force and effect.

L. On the recommendation of the treasurer, the board shall adopt rules to prevent contributions on behalf of a designated beneficiary in excess of those necessary to pay the qualified higher education expenses of the designated beneficiaries. The rules shall address the following:

1. Procedures for aggregating the total balances of multiple accounts established for a designated beneficiary.

2. The establishment of a maximum total balance for the purpose of prohibiting contributions to accounts established for a designated beneficiary if the contributions would cause the maximum total balance to be exceeded.

3. The board shall review the quarterly reports received from participating financial institutions and certify that the balance in all qualified tuition programs, as defined in section 529 of the internal revenue code, of which that person is the designated beneficiary does not exceed the lesser of:

(a) A maximum college savings amount established by the board from time to time.

(b) The cost in current dollars of qualified higher education expenses that the contributor reasonably anticipates the designated beneficiary will incur.

4. Requirements that any excess contributions with respect to a designated beneficiary be promptly withdrawn in a nonqualified withdrawal or rolled over to another account in accordance with this section.

M. If there is any distribution from an account to any person or for the benefit of any person during a calendar year, the distribution shall be reported to the internal revenue service and the account owner or the designated beneficiary to the extent required by federal law.

N. The financial institution shall provide statements to each account owner at least once each year within thirty-one days after the twelve-month period to which ~~they~~ THE STATEMENTS relate. ~~The~~ EACH statement shall identify the contributions made during a preceding twelve-month period, the total contributions made through the end of the period, the value of the account as of the end of this period, distributions made during this period and any other matters that the treasurer requires be reported to the account owner.

O. Statements and information returns relating to accounts shall be prepared and filed to the extent required by federal or state tax law.

P. A state or local government or organizations described in section 501(c)(3) of the internal revenue code may open and become the account owner of an account to fund scholarships for persons whose identity will be determined after an account is opened.

Q. In the case of any account described in subsection P of this section, the requirement that a designated beneficiary be designated when an account is opened does not apply and each person who receives an interest in the account as a scholarship shall be treated as a designated beneficiary with respect to the interest.

R. Any social security numbers, addresses or telephone numbers of individual account ~~holders~~ OWNERS and designated beneficiaries that come into the possession of the treasurer are confidential, are not public records and shall not be released by the treasurer.

S. An account owner may transfer ownership rights to another eligible account owner.

T. An account owner may designate successor account owners.

U. ~~Through December 31, 2025,~~ On direction of an account owner, ~~up to $15,000~~ ALL OR A PORTION of an account may ~~roll over~~ BE TRANSFERRED to an achieving a better life experience act account established pursuant to 26 United States Code section 529A IF THE DESIGNATED BENEFICIARY OF THE ACCOUNT THAT IS ESTABLISHED PURSUANT TO THIS ARTICLE IS EITHER THE DESIGNATED BENEFICIARY OR A MEMBER OF THE FAMILY OF THE DESIGNATED BENEFICIARY OF THE TRANSFEREE ACCOUNT.

V. ON DIRECTION OF AN ACCOUNT OWNER, ALL OR A PORTION OF AN ACCOUNT MAY BE TRANSFERRED TO A ROTH INDIVIDUAL RETIREMENT ACCOUNT THAT SATISFIES THE REQUIREMENTS OF SECTION 408A OF THE INTERNAL REVENUE CODE IF ALL OF THE FOLLOWING CONDITIONS ARE MET:

1. THE ACCOUNT ESTABLISHED PURSUANT TO THIS ARTICLE IS MAINTAINED BY THE DESIGNATED BENEFICIARY FOR AT LEAST FIFTEEN YEARS BEFORE THE TRANSFER DATE.

2. THE MONIES THAT ARE TRANSFERRED PURSUANT TO THIS SUBSECTION ARE DERIVED FROM CONTRIBUTIONS THAT WERE MADE TO THE ACCOUNT ESTABLISHED PURSUANT TO THIS SECTION AT LEAST FIVE YEARS BEFORE THE TRANSFER DATE AND FROM THE EARNINGS ATTRIBUTABLE TO THOSE CONTRIBUTIONS.

3. THE DESIGNATED BENEFICIARY OF THE ACCOUNT THAT IS ESTABLISHED PURSUANT TO THIS ARTICLE IS THE DESIGNATED BENEFICIARY OF THE ROTH INDIVIDUAL RETIREMENT ACCOUNT TO WHICH THE TRANSFER IS MADE.

4. THE TOTAL AMOUNT OF MONIES TRANSFERRED PURSUANT TO THIS SUBSECTION AND ALL OTHER CONTRIBUTIONS TO THE ROTH INDIVIDUAL RETIREMENT ACCOUNT FOR THE DESIGNATED BENEFICIARY IN ANY YEAR DO NOT EXCEED THE ANNUAL ROTH INDIVIDUAL RETIREMENT ACCOUNT CONTRIBUTION LIMIT FOR THE DESIGNATED BENEFICIARY.

5. THE AGGREGATE AMOUNT OF MONIES TRANSFERRED FROM ANY ACCOUNT THAT IS ESTABLISHED PURSUANT TO THIS ARTICLE TO ALL ROTH INDIVIDUAL RETIREMENT ACCOUNTS FOR THE DESIGNATED BENEFICIARY DOES NOT EXCEED $35,000.

<<~~Sec. 3. Section 35-323, Arizona Revised Statutes, is amended to read:~~

~~35-323. Investment of public monies; bidding; security and other requirements~~

~~A. The treasurer shall invest and reinvest public monies in securities and deposits with a maximum maturity of five years. All public monies shall be invested in eligible investments. Eligible investments are:~~

~~1. Certificates of deposit in eligible depositories.~~

~~2. Deposits in one or more federally insured banks or savings and loan associations placed in accordance with the procedures prescribed in section 35-323.01.~~

~~3. Interest bearing INTEREST-BEARING savings accounts in banks and savings and loan institutions doing business in this state whose accounts are insured by federal deposit insurance for their industry, but only if deposits of more than the insured amount are secured by the eligible depository to the same extent and in the same manner as required under this article.~~

~~4. Repurchase agreements with a maximum maturity of one hundred eighty days.~~

~~5. The pooled investment funds established by the state treasurer pursuant to section 35-326.~~

~~6. Obligations issued or guaranteed by the United States or any of the senior debt of its agencies, sponsored agencies, corporations, sponsored corporations or instrumentalities.~~

~~7. Bonds, notes or other evidences of indebtedness of this state or any of its counties, incorporated cities or towns, school districts or special taxing districts, including registered warrants, substitute~~

~~checks, and electronic funds transfer vouchers that bear interest pursuant to section 11-635.~~

~~8. Bonds, notes or evidences of indebtedness of any county, municipal district, municipal utility or special taxing district of any state that are payable from revenues, earnings or a special tax specifically pledged for the payment of the principal of and interest on the obligations, and for the payment of which a lawful sinking fund or reserve fund has been established and is being maintained, but only if a default in payment on principal or interest on the obligations to be purchased has not occurred within five years after the date of investment, or, if such obligations were issued less FEWER than five years before the date of investment, a default in payment of principal or interest has not occurred on the obligations to be purchased or any other obligations of the issuer within five years after the investment.~~

~~9. Bonds, notes or evidences of indebtedness issued by any county improvement district or municipal improvement district of any state to finance local improvements authorized by law, if the principal and interest of the obligations are payable from assessments on real property within the improvement district. An investment shall not be made if:~~

~~(a) The face value of all such obligations, and similar obligations outstanding, exceeds fifty percent of the market value of the real property, and if improvements on which the bonds or the assessments for the payment of principal OF and interest on the bonds are liens inferior only to the liens for general ad valorem taxes.~~

~~(b) A default in payment of principal OF or interest on the obligations to be purchased has occurred within five years after the date of investment, or, if the obligations were issued less FEWER than five years before the date of investment, a default in the payment of principal or interest has occurred on the obligations to be purchased or on any other obligation of the issuer within five years after the investment.~~

~~10. Commercial paper of prime quality that is rated within the top two ratings by a nationally recognized rating agency. All commercial paper must be issued by corporations organized and doing business in the United States.~~

~~11. Bonds, debentures, notes or other evidences of indebtedness that are denominated in United States dollars and that carry at a minimum an "A" or better rating, at the time of purchase, from at least two nationally recognized rating agencies.~~

~~12. Negotiable or brokered certificates of deposit issued by a nationally or state-chartered bank or savings and loan association.~~

~~13. Securities of or any other interests in any open-end or closed-end management type investment company or investment trust, including exchange traded funds whose underlying investments are invested in securities allowed by state law, registered under the investment company act of 1940 (54 Stat. 789; 15 United States Code sections 80a-1 through 80a-64), as amended.~~

~~B. Certificates of deposit shall be purchased from the eligible depository bidding the highest permissible rate of interest. Monies over $100,000 may not be awarded at any interest rate less than one hundred three percent of the equivalent bond yield of the offer side of United States treasury bills having a similar term. If the eligible depository offering to pay the highest rate of interest has bid only for a portion of the monies to be awarded, the remainder of the monies shall be awarded to eligible depositories bidding the next highest rates of interest.~~

~~C. An eligible depository is not eligible to receive total aggregate deposits from this state and all its subdivisions in an amount exceeding twice its capital structure as outlined in the last call of condition of the deputy director of the financial institutions division of the department of insurance and financial institutions.~~

~~D. If two or more eligible depositories submit bids of an identical rate of interest for all or any portion of the monies to be deposited, the award of the deposit of the monies shall be made to the eligible depository among those submitting identical bids having, at the time of the bid opening, the lowest ratio of total public deposits in relation to its capital structure.~~

~~E. Each bid that is submitted and not withdrawn before the time specified constitutes an irrevocable offer to pay interest as specified in the bid on the deposit, or portion bid for, and the award of a deposit in accordance with this section obligates the depository to accept the deposit and pay interest as specified in the bid pursuant to which the deposit is awarded.~~

~~F. The treasurer shall maintain a record of all bids received and shall make available to the board of deposit at its next regularly scheduled meeting a correct list showing the bidders, the bids received and the amount awarded. These records shall be available to the public and shall be kept in the possession of the treasurer for at least two years after the date of the report.~~

~~G. Any eligible depository, before receiving a deposit of more than the insured amount under this article, shall deliver collateral for the purposes of this subsection equal to at least one hundred two percent of the deposit. The collateral shall be any of the following:~~

~~1. A bond executed by a surety company that is approved by the treasury department of the United States and authorized to do business in this state. The bond shall be approved as to form by the legal advisor of the treasurer.~~

~~2. Securities or instruments of the following character:~~

~~(a) United States government or agency obligations.~~

~~(b) State, county, school district and other district municipal bonds.~~

~~3. The safekeeping receipt of a federal reserve bank or any bank located in a reserve city, or any bank authorized to do business in this state, whose combined capital, surplus and outstanding capital notes and debentures on the date of the safekeeping receipt are $10,000,000 or more, evidencing the deposit therein of any securities or instruments described in this section. A safekeeping receipt shall not qualify as security, if issued by a bank to secure its own public deposits, unless issued directly through its trust department. The safekeeping receipt shall show on its face that it is issued for the account of the treasurer and shall be delivered to the treasurer. The safekeeping receipt may provide for the substitution of securities or instruments that qualify under this section with the affirmative act of the treasurer.~~

~~4. Letters of credit issued by a federal home loan bank if:~~

~~(a) The letter of credit has been delivered pursuant to this section or chapter 10, article 1 of this title to the statewide collateral pool administrator.~~

~~(b) The letter of credit meets the required conditions of:~~

~~(i) Being irrevocable.~~

~~(ii) Being issued, presentable and payable at a federal home loan bank in United States dollars. Presentation may be made by the beneficiary submitting the original letter of credit, including any amendments, and the demand in writing, by overnight delivery.~~

~~(iii) If the letter of credit is for purposes of chapter 10, article 1 of this title, containing a statement that identifies the statewide collateral pool administrator as the beneficiary.~~

~~(iv) Containing an issue date and a date of expiration.~~

~~(c) For the purposes of chapter 10, article 1 of this title, the eligible depository, if notified by the statewide collateral pool administrator, is not allowed to use new letters of credit issued by a federal home loan bank if that federal home loan bank fails to pay a draw request as provided for in the letters of credit or fails to properly complete a confirmation of such letters of credit.~~

~~H. The securities, instruments or safekeeping receipt for the securities and instruments shall be accepted at market value if not above par, and, if at any time their market value becomes less than the deposit liability to that treasurer, additional securities or instruments required to guarantee deposits shall be deposited immediately with the treasurer who made the deposit and deposited by the eligible depository in which the deposit was made.~~

~~I. The condition of the surety bond, or the deposit of securities, instruments or a safekeeping receipt, must be such that the eligible depository will promptly pay to the parties entitled public monies in its custody, on lawful demand, and will, when required by law, pay the monies to the treasurer making the deposit.~~

~~J. Notwithstanding the requirements of this section, any institution qualifying as an eligible depository may accept deposits of public monies to the total then authorized insurance of accounts, insured~~

~~by federal deposit insurance, without depositing a surety bond or securities in lieu of the surety bond.~~

~~K. An eligible depository shall report monthly to the treasurer the total deposits of that treasurer and the par value and the market value of any pledged collateral securing those deposits.~~

~~L. When a security or instrument pledged as collateral matures or is called for redemption, the cash received for the security or instrument shall be held in place of the security until the depository has obtained a written release or provided substitute securities or instruments.~~

~~M. The surety bond, securities, instruments or safekeeping receipt of an eligible depository shall be deposited with the treasurer making the deposit, and the treasurer is the custodian of the bond, securities, instruments or safekeeping receipt. The treasurer may then deposit with the depository public monies then in the treasurer's possession in accordance with this article, but not in an amount of more than the surety bond, securities, instruments or safekeeping receipt deposited, except for federal deposit insurance.~~

~~N. The following restrictions on investments apply:~~

~~1. Public operating fund monies shall not be invested for a maturity of longer than five years.~~

~~2. The board of deposit may order the treasurer to sell any of the securities, and any order shall specifically describe the securities and fix the date on which they are to be sold. Securities so ordered to be sold shall be sold for cash by the treasurer on the date fixed in the order, at the then-current market price. The treasurer and the members of the board are not accountable for any loss occasioned by sales of securities at prices lower than their cost. Any loss or expense shall be charged against earnings received from investment of public monies.~~

~~3. Investments shall not be made in companies identified pursuant to section 35-392, subsection A, paragraph 1.~~

~~4. INVESTMENTS IN REAL ESTATE MAY NOT BE MADE BY THE PERMANENT LAND FUNDS OR ANY FUND THAT IS ADMINISTERED BY THE STATE TREASURER. FOR THE PURPOSES OF THIS PARAGRAPH, "REAL ESTATE" HAS THE SAME MEANING PRESCRIBED IN SECTION 32-2101.~~

~~O. If the total amount of subdivision monies available for deposit at any time is less than the maximum coverage amount of the federal deposit insurance corporation, the subdivision board of deposit shall award the deposit of the monies to an eligible depository in accordance with an ordinance or resolution of the governing body of the subdivision. Deposits of less than the maximum coverage amount of the federal deposit insurance corporation are not subject to the requirements of this chapter.~~
>>

<<~~Sec. 4. Section 35-326, Arizona Revised Statutes, is amended to read:~~

~~35-326. Local government investment pool; definition~~

~~A. The state treasurer may maintain one or more pooled investment funds for the collective investment of monies in this state. Securities~~

~~or other instruments in which the monies may be invested are those that are provided for in article 2 of this chapter.~~

~~B. The state treasurer may deposit state monies in a pooled investment fund and may also receive into a fund monies that are deposited by any political subdivision or public entity in this state or public trust that is legally authorized or required to deposit monies with the state treasurer for investment. When a depositor provides monies to a pooled investment fund, the state treasurer may require the depositor to specify the date or dates on which it will require the monies. The assets of a pooled investment fund shall be invested by the state treasurer for such periods as will facilitate the return of the monies to the depositing entities in accordance with the instructions received at the time of deposit. Earnings shall be credited promptly after calculation.~~

~~C. The state treasurer shall compute on a monthly basis the rate of earnings on the pooled investment fund for that month, and each depositor shall be credited with an amount determined by applying the calculated monthly rate to the principal amount of its deposit balance for the period of the deposit. Interest shall be credited monthly.~~

~~D. The governing body of any political subdivision, public trust or public entity, by adopting a resolution of continuing effect, may authorize and request the state treasurer to invest monies for the governing body pursuant to this section.~~

~~E. IF THE STATE TREASURER ESTABLISHES A LOCAL GOVERNMENT INVESTMENT POOL PURSUANT TO THIS SECTION, THE STATE TREASURER SHALL MANAGE THE LOCAL GOVERNMENT INVESTMENT POOL BY USING ONLY EMPLOYEES OF THE OFFICE OF THE STATE TREASURER AND MAY CONFER WITH THE STATE BOARD OF INVESTMENT AS NECESSARY. THE STATE TREASURER MAY ENTER INTO A CONTRACT WITH A THIRD PARTY AS A CONTINGENCY IF THE STATE TREASURER IS UNABLE TO CONDUCT THE STATE TREASURER'S FIDUCIARY DUTY ONLY FOR THE PERIOD OF TIME THAT THE STATE TREASURER'S OFFICE IS UNABLE TO CONDUCT SUCH FIDUCIARY DUTY.~~

~~E. F. For the purposes of this section, "political subdivision" means any governmental entity operating under the authority of this state, including a city, town, county, school district or community college district or any other entity organized under state law.~~ >>

<<~~Sec. 5. Section 41-172, Arizona Revised Statutes, is amended to read:~~

~~41-172. Powers and duties; administering oaths; appointment of deputy state treasurer; conflicts of interest; definitions~~

~~A. The state treasurer shall:~~

~~1. Authenticate writings and documents certified by the state treasurer with the seal of the state treasurer's office.~~

~~2. Receive and keep in secure custody all monies that belong to this state and that are not required to be received and kept by some other person.~~

~~3. File and keep the documentation delivered to the treasurer when monies are deposited into the treasury.~~

~~4. Deliver to each person depositing money into the treasury a confirmation showing the date, amount and depositing agency and shall provide a unique identifying number for each confirmation.~~

~~5. Pay warrants drawn by the department of administration in the order in which they are presented.~~

~~6. Keep an account of all monies received and disbursed, and keep separate accounts of the different funds and appropriations of monies.~~

~~7. Give information in writing as to the condition of the state treasury, or on any subject relating to the duties of the treasurer, at the request of a member of the legislature.~~

~~8. Deliver to the governor and the department of administration, monthly, an accurate statement of receipts and expenditures of public monies for the preceding month, containing a complete exhibit of all the public monies received and paid from the state treasury, showing, under separate heads, on what accounts and from what sources received, and for what particular object or service the monies have been paid. The treasurer shall deliver to the governor a similar statement on or before November 1 each year for the preceding fiscal year. The statement shall also include an estimate of the invested balance, including the STATE general fund share of that balance as of June 30 of the preceding fiscal year. The statements are public records available for inspection at the office of the state treasurer.~~

~~9. On or before February 1 of each year, in coordination with the director of the department of administration, submit to the joint legislative budget committee a report explaining any differences between the department of administration's estimate of the previous fiscal year's state general fund ending balance submitted pursuant to section 35-131 and the state treasurer's estimate of the invested balance, including the state general fund share of that balance as of June 30 of the previous fiscal year submitted pursuant to paragraph 8 of this subsection.~~

~~10. Exercise those specific powers of the surveyor-general as a member of the selection board established under section 37-202.~~

~~11. Administer AZ529, Arizona's education savings plan established by title 15, chapter 14, article 7.~~

~~12. Promote and raise awareness of financial literacy to residents of this state.~~

~~13. OVERSEE THE INVESTMENT ADVISORY TEAM ESTABLISHED PURSUANT TO SECTION 41-181.~~

~~B. The state treasurer may administer all oaths prescribed by law in matters touching the duties of the office of the state treasurer, subject to chapter 4, article 4 of this title, may appoint a deputy state treasurer, may qualify and select investment managers or advisors pursuant to section 35-318 and shall perform other duties required by other laws of this state.~~

~~C. Employees of the state treasurer's office are subject to chapter 4, article 4 of this title. For prospective or current employees of the state treasurer's office, the state treasurer may:~~

~~1. Require the submission of a full set of fingerprints for the purpose of obtaining a state and federal criminal records check pursuant to section 41-1750 and Public Law 92-544. The department of public safety may exchange this fingerprint data with the federal bureau of investigation.~~

~~2. Conduct a periodic review of credit standing.~~

~~D. THE STATE TREASURER SHALL ONLY INVEST IN SAFE INVESTMENTS THAT PRIORITIZE SAFETY AND PRINCIPAL PRESERVATION BEFORE HIGH RETURNS, LIQUIDITY AND YIELD.~~

~~E. THE STATE TREASURER MAY NOT DO ANY OF THE FOLLOWING:~~

~~1. USE ANY INSIDER INFORMATION THAT IS OBTAINED WHILE PERFORMING OFFICIAL DUTIES TO KNOWINGLY BENEFIT ANOTHER PARTY OR FOR ANY PERSONAL GAIN OR FOR THE PERSONAL GAIN OF ANY FAMILY MEMBER OF THE STATE TREASURER. THE INTERESTS OF THE STATE TREASURER'S OFFICE SHALL TAKE PRECEDENCE OVER ANY PERSONAL INTERESTS OF THE STATE TREASURER.~~

~~2. INVEST IN SPECULATIVE INVESTMENTS.~~

~~F. FOR THE PURPOSES OF THIS SECTION:~~

~~1. "INSIDER INFORMATION" INCLUDES ANY INVESTMENT DECISIONS, ANY INFORMATION REGARDING ANY INTERNAL AND EXTERNAL INVESTMENT PROGRAMS OR ANY ADVANTAGEOUS INVESTMENT OPPORTUNITIES THAT ARE NOT AVAILABLE TO THE PUBLIC, AND ANY OTHER NEGOTIATIONS, PROPOSED TRANSACTIONS OR BUSINESS INFORMATION.~~

~~2. "KNOWINGLY BENEFIT ANOTHER PARTY" MEANS TO CONFER, OR ATTEMPT TO CONFER, A FINANCIAL OR OTHER TANGIBLE ADVANTAGE ON ANY PERSON OR ENTITY OTHER THAN THIS STATE OR A FUND, PROGRAM, ACCOUNT OR OTHER BENEFICIARY THAT THE STATE TREASURER IS EXPRESSLY AUTHORIZED OR REQUIRED BY LAW TO BENEFIT.~~

~~3. "SPECULATIVE INVESTMENTS" MEANS ANY OF THE FOLLOWING:~~

~~(a) ANY EQUITY SECURITY NOT TRADED ON A NATIONALLY RECOGNIZED EXCHANGE.~~

~~(b) A BOND, DEBENTURE, NOTE OR OTHER EVIDENCE OF INDEBTEDNESS THAT IS NOT DENOMINATED IN UNITED STATES DOLLARS OR WHOSE ISSUER OR PARENT ISSUER DOES NOT CARRY AT LEAST A BBB- RATING, AT THE TIME OF PURCHASE, FROM A NATIONALLY RECOGNIZED RATING AGENCY.~~

~~(c) HIGH-RISK FINANCIAL INVESTMENTS ON ASSETS WHOSE VALUE IS EXPECTED TO INCREASE SIGNIFICANTLY IN THE SHORT TERM AND THAT ARE OFTEN BASED ON FUTURE POTENTIAL RATHER THAN CURRENT INCOME-GENERATING ABILITY.~~ >>

<<~~Sec. 6. Title 41, chapter 1, article 4, Arizona Revised Statutes, is amended by adding section 41-181, to read:~~

~~41-181. Investment advisory team; membership; duties~~

~~A. THE STATE TREASURER SHALL ESTABLISH AN INVESTMENT ADVISORY TEAM. THE STATE TREASURER SHALL APPOINT ALL OF THE FOLLOWING MEMBERS TO THE INVESTMENT ADVISORY TEAM:~~

~~1. THE DEPUTY TREASURER OR, IF ONE HAS NOT BEEN APPOINTED, A SENIOR DEPUTY IN THE STATE TREASURER'S OFFICE DESIGNATED IN WRITING BY THE STATE~~

~~TREASURER TO FULFILL SUBSTANTIALLY SIMILAR RESPONSIBILITIES OF A DEPUTY TREASURER.~~

~~2. THE STATE TREASURER'S CHIEF INVESTMENT OFFICER OR, IF ONE HAS NOT BEEN APPOINTED, THE MOST SENIOR INVESTMENT PROFESSIONAL WITH DAY-TO-DAY PORTFOLIO MANAGEMENT RESPONSIBILITIES DESIGNATED IN WRITING BY THE STATE TREASURER.~~

~~3. THE STATE TREASURER'S DIRECTOR OF ENDOWMENTS OR, IF ONE HAS NOT BEEN APPOINTED, THE PERSON WHO IS PRIMARILY RESPONSIBLE FOR ENDOWMENT INVESTMENTS DESIGNATED IN WRITING BY THE STATE TREASURER.~~

~~4. ANY ADDITIONAL MEMBERS AS DEEMED NECESSARY BY THE STATE TREASURER.~~

~~B. THE INVESTMENT ADVISORY TEAM SHALL MEET AS NECESSARY TO REVIEW AND MAKE APPROPRIATE RECOMMENDATIONS TO THE STATE BOARD OF INVESTMENT PERTAINING TO INVESTMENT PERFORMANCE AND STRATEGIES AND TO PRIORITIZING SAFETY AND PRINCIPAL PRESERVATION BEFORE LIQUIDITY AND YIELD.~~>>

Enroll and engross to conform

Amend title to conform

JOHN KAVANAGH

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